

26STCV17370 26STCV17370

County: los-angeles

Division: Civil Law and Motion

Department: 833

Hearing date: 2026-08-19

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Case Number: 26STCV17370 Hearing Date: August 19, 2026 Dept: 833

Yaya Orion LLC Case No. 26STCV17370

Hearing:

August 19, 2026

v. Location:

Stanley Mosk Courthouse

Department:

833

Mike Engelman an Judge: Joseph Lipner

S&A

Property Services, Inc.

[Tentative] Order on

Application for Writ of Attachment

INTRODUCTION

Plaintiff Yaya Orion LLC ("Plaintiff") moves for a writ of attachment against Defendants Mike Engelman ("Engleman") and S&A Property Services, Inc. ("S&A") (collectively, "Defendants") in the amount of \$222,840.00.

The Court DENIES the writ of attachment.

LEGAL STANDARD

“Upon the filing

of the complaint or at any time thereafter, the plaintiff may apply pursuant to

this article for a right to attach order and a writ of attachment by filing an

application for the order and writ with the court in which the action is brought.” (Code Civ. Pro. § 484.010.) “Except as otherwise provided by statute, an

attachment may be issued only in an action on a claim or claims for money, each

of which is based upon a contract, express or implied, where the total amount

of the claim or claims is a fixed or readily ascertainable amount not less than

five hundred dollars (\$500) exclusive of costs, interest, and attorney's

fees.” (Code Civ. Pro. § 483.010.)

The court shall issue a right to attach order if the court

finds all of the following:

(1) The claim upon which the attachment is based is one upon which an attachment may be issued.

(2) The plaintiff has established the probable validity of the claim upon which the attachment is based.

(3) The attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based.

(4) The amount to be secured by the attachment is greater than zero.

(Code Civ. Pro. §

484.090.)

“A claim has ‘probable

validity’ where it is more likely than not that the plaintiff will obtain a

judgment against the defendant on that claim.” (Code Civ. Pro. § 481.190.) “The application shall be supported

by an affidavit showing that the plaintiff on the facts presented would be

entitled to a judgment on the claim upon which the attachment is based.” (Code

Civ. Pro. § 484.030.) “In contested applications, the

court must consider the relative merits of the positions of the respective

parties and make a determination of the probable outcome of the

litigation.” (Hobbs v. Weiss (1999)

73 Cal.App.4th 76, 80.) “The

Attachment Law statutes are subject to strict construction.” (Epstein v. Abrams (1997) 57 Cal.App.4th 1159, 1168.)

EVIDENTIARY OBJECTIONS

The

Court does not consider Defendants’ extensive evidentiary objections as they do not affect the outcome of the motion.

DISCUSSION

A.

Probable Validity of Plaintiff’s Claim

The application is based on Plaintiff’s cause of action for breach of contract. The following is a summary of Plaintiff’s evidence from Plaintiff’s perspective.

On or about July 19, 2013, Al Leibovic (“Leibovic”), as Trustee of The Al Leibovic Revocable Trust dated May 18, 2010 (“Trust”), formed Orion, a limited liability company, as its sole member. (Leibovic Decl., ¶¶ 1-2.) Orion now goes by Yaya Orion LLC. (Leibovic Decl., ¶ 2.) On June 1, 2014, Leibovic executed an Operating Agreement which transferred 50% of Leibovic’s interest in Orion to Engleman. (Leibovic Decl., ¶ 3.)

The primary purpose of Orion was to acquire, construct, develop, manage, operate, rent, and sell all of the Orion Apartments. (Leibovic Decl., ¶ 4.) The Orion Apartments are a twenty-four (24) unit luxury residential building. (Leibovic Decl., ¶ 5.) The Orion Apartments boast units with in-unit laundry, central heating and air conditioning, secured parking, and premium interior finishes, including recessed lighting, walk-in closets, stainless steel appliances, granite countertops, and plank flooring throughout. (Leibovic Decl., ¶ 5.)

Pursuant to the Operating Agreement, Leibovic, as manager of Orion, had the “full, complete, and exclusive authority, power, and discretion to manage and control the business, property, and affairs of [Orion].” (Leibovic Decl., Exh. 1 [Operating Agreement § 4.1(A) (emphasis added)].) In fact, the Operating Agreement unambiguously states that Leibovic had the sole authority to execute instruments on Orion’s behalf and to sell, exchange, lease, or otherwise

dispose of the Orion Apartments. (Id. [Operating Agreement §§ 3.6, 4.3(ii)].)

Engelman, who became a member of Orion in his individual capacity after the dissolution of Malka, was not authorized to act unilaterally on behalf of Orion without Leibovic's express written consent and approval. (Id. [Operating Agreement § 3.6 ("No Member, acting solely in the capacity of a Member, is an agent of [Orion]")]).) Orion's Operating Agreement also contains a provision permitting a prevailing party to recover all reasonable fees, costs, and expenses, including attorneys' fees and expenses and prejudgment interest from the date of the breach at the maximum rate allowed by law. (Id. [Operating Agreement § 13.11].)

To facilitate the Orion Apartments' day-to-day operations, Leibovic engaged Defendant S&A to provide third-party property management services for the Orion Apartments.. (Leibovic Decl., ¶ 6.) Leibovic claims Orion and S&A entered into a written, oral, and/or implied-in-fact contract, but has not been able to locate the executed copy of the written portion of the agreement. (Leibovic Decl., ¶ 6.)

According to Plaintiff, Engelman wanted to operate S&A without obtaining the necessary real estate broker's license from the California Department of Real Estate. (Leibovic Decl., ¶ 7.) Consequently, in or around August 2023, Leibovic transferred the entirety of his fifty percent (50%) interest in S&A to Engelman in exchange for a deferred payment if Engelman subsequently sold or transferred S&A. (Leibovic Decl., ¶ 7.) Leibovic made clear to Engelman that he did not have the authority to unilaterally execute or modify leases or otherwise execute any instrument on Orion's behalf. (Leibovic Decl., ¶ 8.)

In or around December 2021, S&A appointed Douglas Christian as the Orion Apartments' residential manager and later hired Christian as S&A's full-time leasing manager. (Leibovic Decl., ¶ 10.) Christian did not at any time have the authority to unilaterally execute or modify leases or otherwise execute any instrument on Orion's behalf for any unit, including his own. (Leibovic Decl., ¶ 10.) His job description and responsibilities were limited to interviewing prospective tenants, verifying the information on their rental application,

collecting required verifications, and summarizing all the relevant facts in a report for my sole review and approval. (Leibovic Decl., ¶ 10.) Leibovic repeatedly reminded Christian not to seek Engleman's approval to execute any leases and not to otherwise accept or process any leases executed by Engleman. (Leibovic Decl., ¶ 10.) Christian (who had a unit in the building) enjoyed a sizeable rental reduction as a result of his new position. (Leibovic Decl., ¶ 12.)

In October 2025, Leibovic retained a different property manager, Yale Management Services Inc. ("Yale") to take over the Orion Apartments. (Leibovic Decl., ¶ 13.) Yale informed Christian that he would have to execute a new lease at its fair market value or would initiate formal eviction proceedings against him. (Leibovic Decl., ¶ 13.)

To Yale's shock, Christian then presented a wholly unknown lease for Unit 403 that, by its terms, was patently fraudulent and clearly the result of misconduct by at least Engelman. (Leibovic Decl., ¶ 14.) Yale promptly brought the lease to Leibovic's attention. (Leibovic Decl., ¶ 14.) Leibovic then discovered that Engleman and S&A had executed a new lease with Christian, without Leibovic's knowledge, consent, or approval. (Leibovic Decl., ¶ 14.)

The Unauthorized

Residential Lease spans a six-year term, beginning October 1, 2024 and ending September 30, 2030 (seventy-two (72) months total). (Leibovic Decl., ¶ 15.) The base monthly rent under the Unauthorized Residential Lease is \$2,460.00, which is markedly lower than its fair market rental value. (Leibovic Decl., ¶ 15.) When taken together, these rental credits given by Defendants total \$177,120.00 and offset Christian's rental obligations for the entire six-year term. (Leibovic Decl., ¶ 15.)

Plaintiff asserts

that, if Christian continues to wrongfully occupy Unit 403 for the full duration of the Unauthorized Residential Lease, Orion will ultimately be harmed in the amount of \$222,840.00, which is based on the fair market value of Unit 403. (Leibovic Decl., ¶ 21.) Further, because the Unauthorized Residential Lease spans an uncharacteristic six-year term that departs from ordinary market practice, the aggregate rent that Orion would otherwise receive for Unit 403 would be even higher as the Unauthorized Residential Lease does not reflect

standard, market-based annual rent increases, which can range from two percent (2%) to just under ten percent (10%). (Leibovic Decl., ¶¶ 16, 21.)

Sometime before

the Unauthorized Residential Lease was executed, Orion is informed, believes, and thereon alleges that Christian threatened to bring employment-related claims against S&A, alleging that he was misclassified as an exempt employee, and sought backpay from S&A in excess of \$360,000.00. (Leibovic Decl., ¶ 17.) Orion is further informed, believes, and thereon alleges that in response to Christian's threatened lawsuit, Defendants wrongfully executed the Unauthorized Residential Lease, giving Christian rent-free tenancy for six (6) years, to dissuade Christian from pursuing his wage-and-hour claims against S&A. (Leibovic Decl., ¶¶ 17-18.) In doing so, Defendants breached their contractual obligations to Orion by unilaterally executing the Unauthorized Residential Lease without Orion's knowledge or consent. (Leibovic Decl., ¶ 18.)

Orion was not

aware of and did not consent to the Unauthorized Residential Lease and would not have approved a lease giving Christian rent-free occupancy of Unit 403. (Leibovic Decl., ¶ 16.) Moreover, Orion is informed, believes, and thereon alleges that Defendants knew, or at the very least reasonably should have known, that they did not have the authority to execute the Unauthorized Residential Lease. (Leibovic Decl., ¶¶ 8, 18.) Moreover, after Yale alerted Leibovic to the existence of the Unauthorized Residential Lease, Leibovic searched S&A's property management system, Buildium, which records and tracks all leases, and discovered that the Unauthorized Residential Lease is missing from the system. (Leibovic Decl., ¶ 20.) In fact, Leibovic discovered that most information regarding Christian is missing from Buildium. (Leibovic Decl., ¶ 20.) These findings indicated to Leibovich that Engleman and S&A knew that their conduct was a breach of contractual obligations and intentionally sought to conceal the authorized residential lease from Leibovic. (Leibovic Decl., ¶ 20.)

Ultimately, if

Orion is unable to lease Unit 403 at its fair market value for the duration of the Unauthorized Residential Lease's term, Plaintiff asserts that Orion will be harmed in the amount of at minimum \$222,840.00, which does not include the standard, market-based annual rent increases Orion would otherwise receive. (Leibovic Decl., ¶ 21.)

Engleman filed an opposition, denying that he knowingly and voluntarily executed the lease whereby Christian would reside at the Orion property, rent free, for 6 years. (Engleman Decl., ¶ 1.) Engleman said that he is aware that he cannot authorize any instrument on behalf of Orion unless explicitly authorized to do so by Leibovic, and on rare occasions when he has executed leases, Leibovic has always provided him with express authorization. (Engleman Decl., ¶¶ 3, 5, 6.)

Engleman has proposed an alternative explanation for how the Lease came to be: Christian, in his capacity as S&A's leasing manager, concocted a scheme to deceive Engleman into signing the lease so that he could secure 6 years' free rent. According to Engleman, it is likely that Christian presented Engleman with a lease under the false pretense that such lease was for one of Engelman's other properties, and asked for Engleman's signature. Engleman signed it because Engleman believed it was for his own property, and he did not need Leibovic to sign off on this lease. (Engleman Opposition, 6:5-19.)

Whatever the merits of this alternative explanation, the following fact remains: Engelman testifies under penalty of perjury that he "never knowingly executed the Lease, and certainly did not do so in exchange for Christian releasing his alleged claims." (Engleman Decl., ¶ 8.) Moreover, he testifies that he denies "that Christian provided me with Leibovic's express authorization for me to execute the lease." (Engelman Decl., ¶ 7.) He also "categorically dispute[s] any involvement in concealing the Lease or preventing it from being entered into Buildium." (Engelman Decl., ¶ 9.)

Thus, the basic facts of the alleged breach are hotly disputed. They cannot be determined by this Court at this stage of the litigation on this record. They will have to await further discovery to determine which party is more credible and how the lease came to be executed. The Court concludes that, at this early stage, Plaintiff has not proven the probable validity of its claim.

B.
Basis for Attachment

"[A]n attachment may be issued only in an action on a claim or claims for money, each of which

is based upon a contract, express or implied, where the total amount of the claim or claims is a fixed or readily ascertainable amount not less than five hundred dollars (\$500) exclusive of costs, interest, and attorney's fees." (Code Civ. Pro. § 483.010, subd. (a).) "An attachment may not be issued on a claim which is secured by any interest in real property arising from agreement"

(Code

Civ. Pro. § 483.010, subd. (b).) "[A]n attachment will lie upon a cause of action for damages for a breach of contract where the damages are readily ascertainable by reference to the contract and the basis of the computation of damages appears to be reasonable and definite." (CIT Group/Equipment Financing, Inc. v. Super DVD, Inc. (2004) 115 Cal.App. 4th 537, 541.)

Here, Plaintiff's application

for writ of attachment is based on the current fair market value rent of Christian's unit. There is no evidence that the claim is secured by an interest in real property.

However, the

damages are not readily ascertainable by reference to the evidence provided by Plaintiff. All parties agree that the contract is not ascertainable from review of the contract itself. Instead, the \$177,120 damages amount depends upon numerous future events, including, among other things, Christian remaining in the property throughout the entire term.

Plaintiff's

citation in its reply to CIT Group/Equipment Financing, Inc. v. Super DVD, Inc. (2004) 115 Cal.App.4th 537 is unconvincing. Plaintiff asserts that this stands for the proposition that future lease payments can be a basis for an attachment. CIT, however, was talking about agreements where the plaintiff affirms the contract and has sued to get the full benefit of the bargain through the end of the contract term. (Id. at p. 540.) CIT was not discussing an idiosyncratic situation like this one, where Plaintiff claims the contract was fraudulent, that the tenant should never have been in the apartment under these terms in the first place, and where there is no clarity on how long the tenant will stay there or whether Plaintiff will be able to rent it to anyone else.

The \$222,840

figure likewise is not fixed or ascertainable as this sum does not appear in any contract between the parties nor can such a figure be determined by

examining the Operating Agreement or Management Agreement. Rather, this figure rests entirely on Leibovic's own opinion regarding the unit's fair market rental value, now and in the future. Actually determining the unit's true fair market rental value will require competing valuation evidence, all of which lies outside the scope of either allegedly breached agreements. Orion's projection of asserted current rental value into future years necessarily requires assumptions about future rental rates and market conditions, among other things, thereby rendering the figure neither fixed nor ascertainable.

Therefore, a writ of attachment cannot issue against Engleman or S&A.

C.

Purpose and Amount of Attachment

Code of Civil

Procedure section 484.090 states that the Court shall issue a right to attach order if "the attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based . . . [and] the amount to be secured by the attachment is greater than zero." Plaintiff satisfied these requirements. (See Application ¶ 4.)

D.

Reduction of Amount to be Secured

Code of Civil

Procedure section 483.015, subd. (b) provides that the amount to be secured by the attachment shall be reduced by, inter alia: "(2) The amount of any indebtedness of the plaintiff that the defendant has claimed in a cross-complaint filed in the action if the defendant's claim is one upon which an attachment could be issued." Defendant has the initial burden of proof to satisfy the requirements of attachment for any offset claim. (See Code Civ. Pro. § 483.015 and *Lydig Construction, Inc. v. Martinez Steel Corp.* (2015) 234 Cal.App.4th 937, 945.) Among other requirements, "the contract sued on must furnish a standard by which the amount due may be clearly ascertained and there must exist a basis upon which the damages can be determined by proof." (See *CIT Group/Equipment Financing, Inc.*, supra, 115 Cal.App.4th at 541.)

Defendants submitted

an opposition, but did not identify any cross-complaint filed in this action.

E.

Exemptions

Defendants did not claim any exemptions.

F.

Undertaking

Code of Civil

Procedure section 489.210 requires the plaintiff to file an undertaking before issuance of a writ of attachment. Code of Civil Procedure section 489.220 provides, with exceptions, for an undertaking in the amount of \$10,000. Plaintiff has not yet filed an undertaking at the time of the application.

G.

Subject Property

Plaintiff requests attachment of the following property for Engleman, which the Court finds to be a proper request:

All funds, accounts, and other property, including without limitation, all real property, including without limitation, the real properties located at 5055 Densmore Avenue, Encino, California 91436 and 14333 Roscoe Boulevard, Panorama City, California 91402; all deposit accounts, brokerage accounts, securities accounts, investment accounts, and other financial accounts; all accounts receivable and rights to payment; all interest, dividends, income, distributions, and other income from any of the foregoing or from any stocks, bonds, mutual funds, or other financial assets; and any personal property, including without limitation, furniture, inventory, equipment, artwork, and automobiles; and all other property described more fully in the concurrently-filed Declaration of Al Leibovic.

(Application, ¶
9c.)

Plaintiff requests attachment of any property of Defendant S&A. (Application ¶ 9a.) That request is proper. “[A]ll corporate property for which a method of levy is

provided by Article 2 (commencing with Section 488.300) of Chapter 8" may be attached. (Code Civ. Pro. § 487.010, subd. (a).)

H.

Attorneys Fees

Code of Civil Procedure

section 482.110, subd. (b) provides, "[i]n the discretion of the court, the amount to be secured by the attachment may include an estimated amount for costs and allowable attorney's fees."

No attorneys fees or costs are requested.

CONCLUSION

The Court DENIES the writ of attachment.

IT IS SO ORDERED.

Dated: August 19,
2026

Joseph Lipner

Superior
Court Judge